

IndexMaker Structuring Memorandum

September 2025

This memorandum sets out a structuring proposal for operationalizing IndexMaker in a regulatory risk-mitigated manner.

1. Project Overview

The IndexMaker Protocol is a decentralized infrastructure through which the DAO establishes parameters for an index portfolio governed by smart contracts, represented by ERC-20 index tokens (“**Index Tokens**”) and backed by collateral held in custody. Specifically, the Index Tokens will be issued in consideration for stablecoins, which will be used to purchase a basket of assets in accordance with the parameters of the applicable index. The protocol governance architecture includes an Issuer Network, Authorized Participants (“**APs**”), Curators, and the IndexMaker DAO, with collateral managed via third-party custodians such as Bitget. The system is designed to operate with minimum KYC, facilitate third-party liquidity provisioning (e.g., AMMs, lending, staking), and allow DAO participants, such as Curators, to manage index weightings on-chain in a decentralized manner.

2. Client Objectives

The client aims to launch more than 1,000 index tokens under a legally lean, modular, and decentralized structure that reduces regulatory friction and avoids the need to register each index as a separate fund.

Key objectives include:

1. enabling token minting and redemption via APs with a reduction of DAO custody risk;
2. ensuring DAO-governed oversight through the Issuer Network and the Elected DAO;
3. supporting decentralized Curator participation, and maintaining non-custodial user access; and
4. The structure also seeks to minimize regulatory obligations by decentralizing execution authority and governance, while still enabling compliant custody arrangements, third-party sales, and user liquidity actions.

3. Assumptions and Limitations

This memorandum is based on information, documents, and representations provided by the client and its affiliates; the accuracy, completeness, and veracity of such materials have not been independently verified. The analysis is limited to general informational purposes only and does not constitute, and should not be construed as, legal advice in any jurisdiction, particularly the United States, the Marshall Islands, or Panama. This memorandum may not be relied upon by any third party, including for investment or transactional decision-making. Crypto-related activities remain a high-risk area subject to evolving and uncertain regulation; no analysis can eliminate the possibility that regulatory authorities may exercise their broad discretionary powers to investigate, challenge, or pursue enforcement action, potentially leading to significant cost, delay, or other adverse outcomes, even where the ultimate resolution may be favorable.

4. Summary Answer

This proposal outlines a legally lean, modular structure for launching up to 1,000 decentralized index tokens through the IndexMaker Protocol, mitigating U.S. securities law risk via progressive decentralization, DAO-based governance, and jurisdictional structuring. The recommended model uses a Marshall Islands Master-Series DAO LLC for index-level separation, a Panama-based Authorized Participant for custody and execution, and a separate Panama GUI operator for front-end access. By separating governance, custody, and user interfaces, while embedding robust, skills-based sortition for the Elected DAO, coupled with Curator supervision, and validator node compliance oversight, the structure aims to preserve operational autonomy, reduce regulatory exposure, and provide a scalable framework for defensible token issuance.

5. The Legal Rationale

5.1. United States

5.1.1. *LLC Units as Securities*

Under U.S. law, a security is an investment that falls within a regulated category. Offerings, sales, and trading of all securities must comply with federal securities laws. These laws list certain defined investment types, like stocks and bonds as securities, but also capture other arrangements that function like regulated investments as securities. Courts often determine whether something is an investment contract by applying the *Howey* Test, which asks whether there is:

- 1) an investment of money,
- 2) in a common enterprise,
- 3) with an expectation of profit,
- 4) that comes primarily from the efforts of others.

In *Williamson v. Tucker*, 645 F.2d 404 (5th Cir. 1981) (*Williamson*), the court recognized that partnership and joint venture interests *can* qualify as investment contracts if at least *one of the following conditions*

applies:

1. The agreement places so little power in the investor's hands that it resembles a *limited partnership*. Such an arrangement effectively distributes power as it would in a limited partnership.
2. The investor is so inexperienced and unknowledgeable in the relevant business that they cannot intelligently exercise their partnership or venture powers. The focus here is specifically regarding experience in the *particular business* (e.g., debt purchasing, real estate development), not merely general business experience.
3. The investor is so dependent on a manager's unique entrepreneurial or managerial ability that they cannot replace that person or effectively exercise meaningful partnership or venture powers. This dependence goes beyond merely choosing to hire another party to manage the investment; it implies an inability to replace the manager or exercise ultimate control.

Courts have further applied this reasoning to Limited Liability Companies (LLCs), finding that formal management rights may not matter if control is, in practice, concentrated in a small group. To avoid classification as an investment contract, **none of these three conditions can be present**. The presence of any one of the above factors is sufficient to classify the interest as an investment contract. In such cases, the offering and trading of the units would be subject to the same regulatory requirements that apply to other securities.

5.1.2. Tokens as Securities

A similar framework applies to digital tokens. The *Howey* test governs whether a token is an "investment contract" and thus a security. Under *Howey*, the analysis turns on whether purchasers are relying on the efforts of others for the token's value.

The "Hinman doctrine" comes from a 2018 speech by William Hinman, then Director of the SEC's Division of Corporation Finance. He suggested that even if a token starts out as a security, it can stop being one if the underlying network becomes "sufficiently decentralized." In that case, no single party would control the network, and important information would be broadly available, meaning purchasers would no longer reasonably expect profits from the efforts of a central promoter.

From a regulatory perspective, decentralization is a critical factor in determining whether an instrument is a security. The more a token or LLC unit relies on the managerial or entrepreneurial efforts of a single controlling person or small group, the more likely it is to meet the *Howey* Test's "efforts of others" element. When a wide base of participants shares decision-making power, governance, and key operational knowledge, the securities law risk decreases. In practice, decentralization, whether through broad voting rights in an LLC or a token running on an open, permissionless blockchain, weakens the case that purchasers are depending on a central promoter for value.

5.1.3. Looking Ahead

Several ongoing proposals aim to make these principles clearer in law. *The Clarity for Digital Tokens Act* (the "**Clarity Act**"), recently introduced in the U.S. House, would amend the *Securities Act of 1933* to

recognize that a token may transition from security to non-security status once the token's underlying network reaches a functional and decentralized state. This would give issuers and developers a clearer legal framework for compliance during that transition.

Similarly, the SEC's proposed decentralized safe harbor, championed by Commissioner Hester Peirce, would create a three-year exemption from securities registration for token projects. During this period, projects could develop their networks and move toward decentralization without triggering enforcement, provided they meet disclosure and anti-fraud requirements. The goal is to provide a predictable, lawful pathway for networks to mature into non-security status while protecting investors through transparency. From this perspective, the structure described herein aims to align with the proposed principles of the Clarity Act and the safe harbor.

5.1.4. Clarity Act Decentralized Finance (DeFi) Activities Exclusion

If a decentralized finance (DeFi) platform is purely a technology provider, does not allow custody of user assets, and allows users to transact in a self-directed manner without the provider's implication, it may qualify under the exclusion for DeFi activities.

This exclusion applies to activities related to the operation and maintenance of blockchain networks. An entity is not subject to the *Clarity Act* and its obligations (except for anti-fraud and anti-manipulation) based on directly or indirectly engaging in activities such as:

1. Providing a user interface that enables a user to read and access data about a blockchain system.
2. Developing, publishing, constituting, administering, maintaining, or otherwise distributing a blockchain system or a decentralized finance trading protocol. "**Decentralized finance trading protocol**" is defined as a blockchain system where participants can execute financial transactions "without reliance on any other person to maintain control of the digital assets of the user during any part of the financial transaction".
3. Developing, publishing, constituting, administering, maintaining, or otherwise distributing software or systems that create or deploy hardware or software, including wallets or other systems, facilitating an individual user's own personal ability to keep, safeguard, or custody the user's digital assets or related private keys.

It would be prudent to conduct a subsequent assessment to determine whether the IndexMaker Protocol could qualify for a DeFi Activities exclusion under the Clarity Act. Such an assessment should be undertaken once the final implementing regulations and interpretive guidance are available, and after the protocol's operational parameters, governance mechanisms, and decentralization features are more fully developed. At present, however, making such a determination is challenging, as the scope and application of the DeFi Activities exclusion are not yet well-defined within the Act and remain subject to significant regulatory interpretation.

While the DeFi exclusion removes many obligations, it is important to note that the protocol will still fall under the Commodity Futures Trading Commission's (CFTC) anti-fraud and anti-manipulation oversight.

5.1.5. Digital Commodities

A “**digital commodity**” is defined as a digital asset that is not a security, is intrinsically linked to a blockchain system, and the value of which is derived from or is reasonably expected to be derived from the use of the blockchain system.

A digital asset is intrinsically linked when it is, for example, issued by the programmatic functioning of the blockchain system, used for value transfer, access to services, governance participation, or as payment or incentive for network operations. The CFTC is given exclusive regulatory jurisdiction over the cash or spot markets for digital commodities.

Under the Clarity Act, a token may qualify as a digital commodity once its underlying blockchain is considered a mature blockchain system. To achieve this status, the issuer, an affiliated party, or the blockchain's decentralized governance system can formally certify the blockchain's maturity to the SEC. This certification process is a key step in confirming that the token is no longer subject to securities laws and falls under the digital commodity framework.

5.1.6. Things to Watch Out For

To reduce the risk of security classification, consider the following:

1. **Real Governance Power.** Voting rights must have practical effect, not just symbolic value. DAO proposals should provide enough detail for informed decisions and avoid defaults or mechanisms that favor insiders.
2. **Transparent, Public, Open-Source, and Accessible Software Components and Documentation.** User interfaces and protocol components should remain transparent, intuitive, and openly accessible, supported by publicly available, open-source code and documentation. Such documentation should clearly outline the protocol's architecture, governance processes, and functional design to ensure stakeholders can readily understand and verify system operations.
3. **Practical Transparency.** Even if IndexMaker Protocol follows the recommendations outlined in point 2 above, information access must be real and usable in practice. Transparency should allow DAO members to participate intelligently by including rationales, risk disclosures, financial data, and avenues for challenge or oversight.
4. **Deliberate Voting Design.** In *Williamson*, the court recommended majority approval for major decisions, defined procedures, and regular meetings. DAO voting should enable genuine community control, with consistent updates and structured participation.

5. **Avoiding Illusory Rights.** In *SEC v. Merchant Capital, LLC*, 483 F.3d 747 (2007) (*Merchant Capital*), investor rights were undermined by tactics like pre-filled ballots, default votes for management, and a lack of mechanisms to act on outcomes. Do not use systems that only *appear* decentralized while keeping control with insiders. Use neutral default rules and remove unnecessary friction to participation. Member participation should be easy and accessible.
6. **Member Capability, Education, or Delegation.** Relevant expertise must be related to the business. In *Merchant Capital*, courts found that general sophistication was insufficient where investors lacked knowledge of debt purchasing. DAO members without relevant skills should receive training, delegate to opt-in agents, or be excluded if entirely passive.
7. **Replaceability and Removal of Key Roles.** All key roles (e.g. Curators, Core Teams) must be realistically removable by DAO member action. If coordination is infeasible or thresholds are too high, the control will be deemed theoretical.
8. **Promoter Irreplaceability and Funds Access.** In *Merchant Capital*, the manager was deemed irreplaceable not for unique skills, but because funds were locked and only the manager could access the assets. DAO members should have clear avenues to exercise oversight on the Curators' ability to redirect, reassign, or reclaim assets. Pooling should not create a situation where one team or person cannot be replaced.
9. **Sortition and the Non-Security Argument.** Sortition is the random selection of individuals to serve in governance or managerial roles. By assigning roles through chance, sortition demonstrates that managerial positions are interchangeable and not unique. It also creates a built-in mechanism to replace managers and limit terms, addressing *Williamson's* third factor. This approach is effective only if the selected participants are qualified and must be paired with training as described in point 6 above. If a hidden core team continues to exercise real control, the legal risk remains.
10. **Curator and Issue Network Roles.** Courts focus on control concentration, not labels or titles. Merging roles is acceptable only if the resulting group is elected, accountable, and removable. Merge roles only when control stays distributed. Election, term limits, and oversight are critical. Separation can aid transparency and redundancy, but is not legally required if the combined structure is still decentralized in practice.

5.2. Marshall Islands

The Marshall Islands DAO LLC regime offers a legal structure combining blockchain-native governance with limited liability protections. MIDAO are the Marshall Islands' official registry and service provider for DAO LLCs. Established under the *Decentralized Autonomous Organization Act* (2022), any DAO, structured as "member-managed" or "algorithmically managed," can incorporate as an LLC, granting it formal legal recognition while preserving on-chain governance dynamics. Membership can be determined purely by token holdings, effectively treating tokens as LLC membership units. MIDAO, a public-private partner and the sole registered agent, streamlines this process, as it designed

the legislation to explicitly recognize DAOs and manage their incorporation and compliance as DAO LLCs within a sovereign jurisdiction.

5.2.1. *Key Benefits*

The Marshall Islands DAO LLC offers legal recognition and liability protection for members, ensuring that personal assets are shielded from the DAO's obligations. By allowing tokens to directly represent LLC units, the framework enables governance and ownership to function natively on-chain without sacrificing enforceability in the real world.

The jurisdiction accommodates both for-profit and non-profit DAO LLCs. For non-profits, issuing and redeeming governance tokens is not considered a profit-making activity and therefore does not jeopardize non-profit status. For-profits are permitted to generate revenue and are subject to a modest 3% gross revenue tax, excluding capital gains and dividends. The governance model is flexible, with no requirement for physical directors or officers, and can be operated entirely by smart contract logic or token-holder consensus.

VASP obligations are regulatory requirements for Virtual Asset Service Providers, such as crypto exchanges or custodial wallet operators. They usually involve licensing, transaction monitoring, and Know Your Customer (KYC)/ Anti-Money Laundering (AML) compliance. The absence of VASP obligations in MI for typical DAO governance activities reduces compliance burdens and administrative costs.

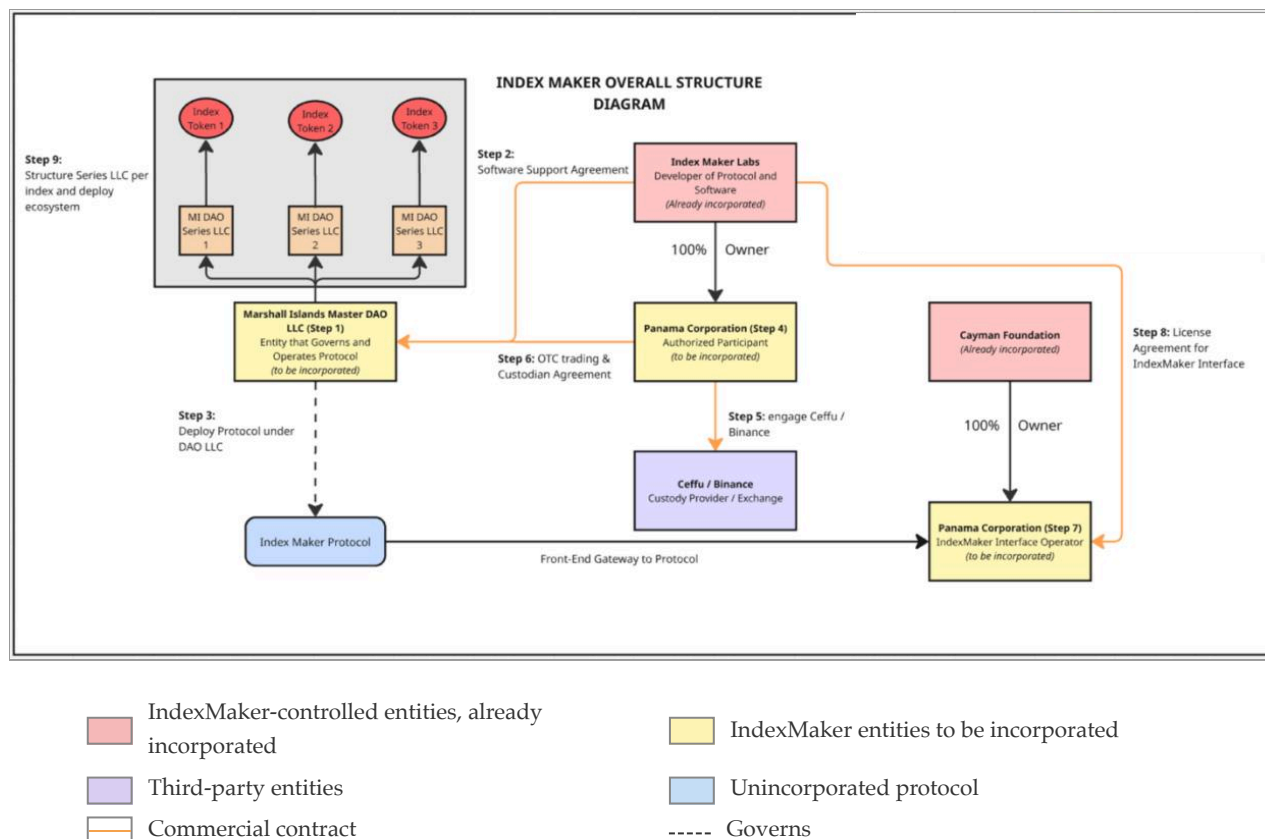
5.2.2. *Things to Watch Out For*

Although the Marshall Islands regime is flexible, there are still mandatory compliance points. At least one individual must complete KYC identification and verification to serve as the DAO LLC's official representative with the Marshall Islands government. In addition, any individual holding more than 25% of the DAO's total token supply must also complete KYC. Beneficial ownership reporting is required for anyone with 25% or more governance rights. From experience, it is rare that many, if any, individuals meet this threshold.

If the DAO is classified as a non-profit, care must be taken to ensure that any commercial activities are conducted through a separate agreement, so they are not attributed to the DAO LLC itself. While issuing and redeeming governance tokens does not count as profit-making, unrelated revenue-generating activity could affect non-profit status if not properly structured.

6. Overall Structure Diagram

6.1. Description



Based on the objectives above, the following structure, as illustrated in the diagram, is proposed to operate the business. This structure has four important aspects worth highlighting:

- 1. Master-Series LLC Structure.** The Marshall Islands Master-Series LLC will serve as the umbrella organization for the DAO. In a Master-Series LLC, the “Master” is a single legal entity that can establish multiple “Series” within it, each with its own assets, liabilities, and business purpose. The debts and obligations of one Series are legally separate from those of the others, even though they all exist under the same Master. Each Series under the Master will represent a separate index. This is implemented by executing an initial Master-Series LLC Agreement and a separate Operating Agreement for each Series (index). The key benefit is that each Series is insulated from the liabilities of the others — if one index underperforms or incurs liabilities, this does not affect the others. Setting up a new Series is straightforward: a template Series Operating Agreement, which is usually less than five pages, can be prepared in advance and executed for each new Series. At annual renewal, all Operating Agreements are updated to reflect changes and newly formed Series.
- 2. Tokenization and Governance.** A Marshall Islands DAO LLC can issue tokens that represent LLC units, although it is not required to do so. In this structure, DAO-level governance will be conducted through LLC units, with voting weighted by USDC deposits (1 USDC = 1 vote, not index-specific). At the index level, tokens will be issued to represent the underlying assets; these will form a separate, non-voting class of LLC units. This approach allows, provided de-

centralization is effectively implemented as mentioned above, the issuance of DAO LLC units or index tokens in a manner that reduces U.S. securities law exposure.

3. **Separation of Protocol and Interface.** The IndexMaker Protocol, governed by the Marshall Islands DAO LLC, will not operate the GUI interface that provides user access to the protocol. Legally, this separation limits regulatory exposure because the autonomous smart contracts operate independently on the blockchain and are governed in a decentralized manner, while the GUI is merely a passive publishing tool for publicly available information. As argued in Uniswap's defense to the SEC, the operation of a front-end interface is distinct from the creation or control of the underlying protocol, and limiting functional involvement with the interface reduces the risk of regulators characterizing IndexMaker Labs as "operating" the protocol. Because Panama does not currently have VASP legislation, it is customary to locate GUI operators there.
4. **Authorized Participant Entity.** The Authorized Participant, acting as both OTC desk and custodian, will be organized as a separate entity in Panama. This ensures that VASP obligations are not triggered in the Marshall Islands and that such activities remain permissible under Panama's current regulatory framework, which does not impose VASP licensing requirements. Holding the assets in a separate entity also reduces the risk of those assets being commandeered through DAO corporate raider tactics or other hostile methods of seizing control of DAO-governed resources.

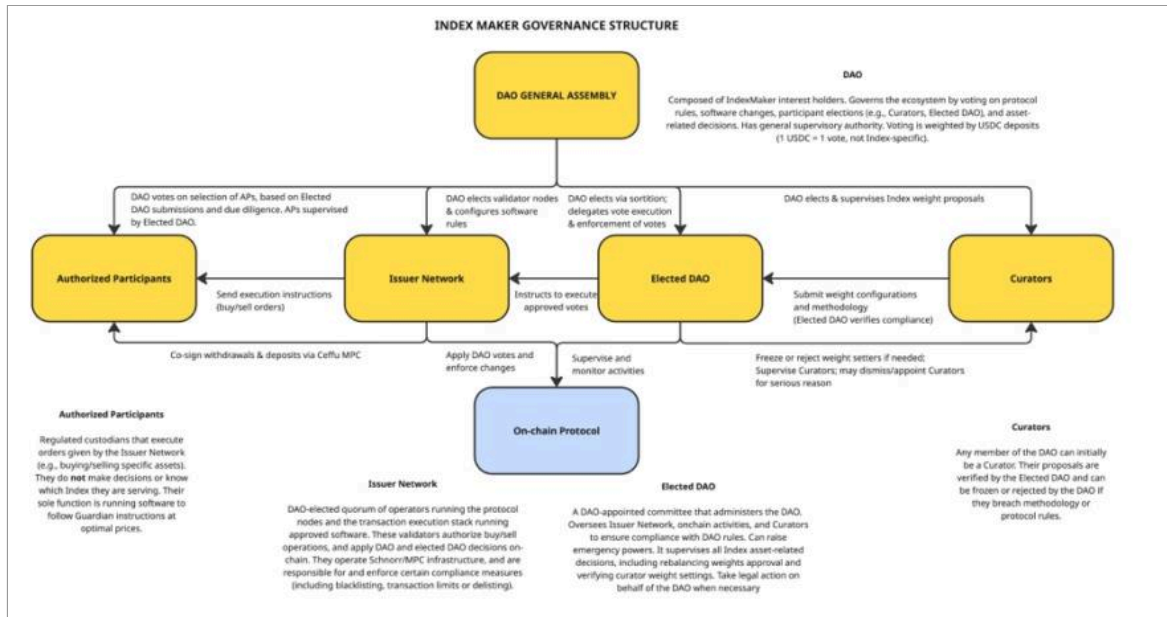
6.2. Steps

1. **Formation of Marshall Islands DAO LLC (Master).** Incorporate the Marshall Islands DAO LLC and adopt an initial, short-form LLC Agreement to allow the entity to begin initial testing and operations while the more comprehensive Master LLC Agreement is being drafted. This phased approach enables the DAO LLC to progress with other aspects of the structure in parallel.
2. **Execution of Software Support Agreement between the DAO LLC and IndexMaker Labs.** The DAO LLC will enter into a software support agreement with IndexMaker Labs. This agreement will formally establish the legal relationship between the DAO LLC and IndexMaker Labs, enabling IndexMaker Labs to provide ongoing technical development, protocol upgrades, feature implementations, integrations with third-party services, maintenance, documentation, and security patches. The agreement will also include payment terms, giving IndexMaker Labs the ability to be compensated for its services.
3. **Deployment of Protocol Software.** The DAO LLC will deploy the open-source protocol software developed by IndexMaker Labs. This deployment will initiate the functional operation of the protocol, starting with testing phases before transitioning to guarded mainnet deployment.
4. **Incorporation of Authorized Participant in Panama.** Form the Authorized Participant entity in Panama to handle custody and exchange-related functions. This entity will be incorporated as a

wholly owned subsidiary of IndexMaker Labs so that profits derived from trading activities and custody services accrue directly to IndexMaker Labs.

5. **Establishment of Exchange and Custody Relationships.** Begin the process of executing and closing agreements with custody and exchange providers, including Cobbo, Bitget, Ceffu, Binance, and other relevant platforms. These agreements will cover onboarding, account setup, KYC/AML requirements, fee schedules, service-level agreements, and any required API or technical integrations.
6. **Execution of Crypto Asset Services Agreement between the DAO LLC and the Authorized Participant.** Sign a services agreement outlining the relationship between the Marshall Islands DAO LLC and the Authorized Participant. This agreement will define the scope of services (including execution, custody, settlement, and reconciliations), the applicable fee structure, service standards, and limitations of liability, along with any required compliance provisions.
7. **Incorporation of the GUI Operator in Panama.** Incorporate a Panama corporation to operate the GUI (“IndexMaker Interface”). This GUI Operator will be organized as a wholly owned subsidiary of the Cayman Foundation to mitigate legal risks associated with potential joint operational control between the GUI Operator and IndexMaker Labs. Terms and Conditions for the IndexMaker Interface will be drafted and published at this time.
8. **License Agreement between IndexMaker Labs and the GUI Operator.** IndexMaker Labs will grant the GUI Operator a license to use the front-end user interface. This agreement will define the scope of licensed rights and outline any branding or compliance requirements. The fees for such an arrangement are usually minimal, but if the GUI is to generate fees, this can be added to the license agreement.
9. **Completion of Master-Series LLC Agreement and Series Operating Agreement Template.** Finalize the Master-Series LLC Agreement and prepare a template Series Operating Agreement. Upon execution of the Master Agreement, new Series can be established efficiently to operate specific indexes by executing the template Operating Agreement for each.

7. DAO Governance Structure



7.1. Description

The IndexMaker governance framework is designed to strike a balance between operational efficiency, legal risk reduction, and a clear path toward progressive decentralization. At its core, it integrates representative decision-making with verifiable execution through validator nodes, while authorizing Curators for technical asset-weighted decisions. Authority flows from the DAO General Assembly, which sets high-level rules and elects representatives, down to specialized operational groups that execute on-chain actions and enforce compliance.

A key feature is the use of sortition (random selection from an eligible pool) for electing the Elected DAO. Eligibility is not purely token-based; it is determined by a combination of skills, training, DAO-offered certifications, prior governance participation, and customary prerequisites such as token holdings and collateral. This approach, inspired by the *Goldilocks-based sortition algorithm*, ensures a “just right” balance between randomness and merit, avoiding entrenched incumbency while maintaining competence in governance roles.¹

Progressive decentralization is a governance strategy where a project or protocol gradually shifts control from a core founding team to a broader, community-driven governance structure over time. This phased approach enables the system to begin with strong, centralized execution for speed and security, then gradually transfer decision-making power as the community grows in competence, participation, and alignment. It matters because it balances operational efficiency with the long-term benefits of decentralization, such as resilience, censorship resistance, and broad-based legitimacy, while reducing risks of early mismanagement or capture.

¹ Baharav, T., & Flanigan, B. (2024). *Goldilocks sortition: A just-right way to select participants*. arXiv. <https://arxiv.org/abs/2406.15009>

7.2. Step-by-Step Governance Process & Roles

- 1. DAO General Assembly Sets Direction.** The DAO General Assembly governs the overall policy direction by voting on protocol-level rules, software upgrades, participant elections, and asset-related mandates. It also oversees the formation and refreshment of the eligibility pool for sortition-based role selection for the Elected DAO, elects the Issuer Network, and oversees the Curators. All voting is weighted by USDC deposits, ensuring governance participation aligns with economic stake. In addition, any member of the General Assembly may initiate a vote at any time, and if the proposal meets certain required thresholds, the decision becomes binding irrespective of the Elected DAO.
- 2. Eligibility Pool Formation for Sortition.** The DAO Assembly establishes criteria for membership in the eligibility pool for Elected DAO positions. Requirements include successful completion of DAO-provided governance and compliance training, demonstration of technical or domain-specific skills relevant to the role, and meeting minimum token ownership or staking thresholds. Role-specific requirements may include reputation scores, past performance history, geographic diversity, or stakeholder type to maintain balanced representation. In addition, candidates must commit collateral (in protocol tokens or another defined asset), which may be subject to slashing by fellow members in the event of misconduct or breach of duties. Pools are refreshed periodically to integrate newly qualified members.
- 3. Role Election via Goldilocks-Based Sortition.** The Assembly uses a Goldilocks sortition algorithm, supported by on-chain verifiable randomness (VRF), to select members from the eligible pool. For the Elected DAO, 15 to 20 members are randomly selected from the eligibility pool to ensure both fairness and optimal diversity. Goldilocks parameters prevent over-selection of the same individuals while avoiding underrepresentation of competent candidates.
- 4. Elected DAO.** The Elected DAO functions as the supervisory and oversight body within the IndexMaker governance system. Their role is not to administer voting mechanics (those are automated by smart contracts) but rather to supervise Curators, verify that index updates adhere to approved methodologies, and instruct the Issuer Network to execute approved decisions. The Elected DAO also holds authority to dismiss or replace Curators for cause, providing an additional layer of member protection. By embedding random selection and slashing-based accountability, the Elected DAO mitigates risks of entrenchment, capture, and managerial dependency while preserving decentralized oversight.
- 5. Curators.** Curators serve as index-specific fund managers, responsible for maintaining methodologies and proposing index weight updates. Any participant may initially propose and launch a new index, submitting both the methodology and themselves as the first curator, subject to Elected DAO approval. Once approved, Curators may propose future changes to index composition or methodology, which are reviewed for compliance with the agreed methodology before implementation. Different indexes may have different Curators, enabling specialization and diversification across strategies. This structure ensures accountability while still allowing open participation in index creation and management.

6. **Issuer Network.** The Issuer Network is a decentralized group of operators running the protocol's validator nodes and execution infrastructure. Their role is to apply DAO and Elected DAO decisions on-chain, enforce protocol-level compliance guardrails, including blacklisting non-compliant nodes, pausing operations that breach protocol rules, and flagging execution anomalies, thereby ensuring that transactions are executed faithfully. Unlike traditional finance, the Issuer Network in IndexMaker does not assume trading or inventory exposure. Instead, it coordinates liquidity through intents and decentralized execution, offering members continuous access to block trades and low-cost liquidity. By separating execution risk from governance, the Issuer Network strengthens compliance and ensures operational resilience.
7. **Authorized Participants.** Authorized Participants are regulated custodians tasked with executing the buy/sell orders generated by the Issuer Network, co-signing withdrawals and deposits through MPC infrastructure, and providing the final trading interface with external markets. Multiple APs compete to provide liquidity and arbitrage opportunities, reducing costs for investors and ensuring tight spreads. Unlike Curators, APs do not design or manage index methodologies; their role is purely executional. Importantly, while APs remain responsible for their own compliance obligations (e.g., KYC/AML, custody), this does not substitute for DAO compliance oversight, which remains with the Issuer Network. By focusing on execution while leaving governance and fund design elsewhere, APs reinforce the separation of powers that underpins the system's legal and operational robustness.

7.3. Progressive Decentralization Roadmap

1. **Guided Operations.** At inception, the Elected DAO is composed of founders and trusted operators, who administer governance and supervise protocol decisions while the sortition framework is built in parallel. Training, certification, and eligibility standards are developed to prepare community members for eventual participation. The Issuer Network begins as a small, centralized group of technically skilled operators appointed by the founding team to ensure reliable execution of trades, compliance checks, and validator node management. This arrangement minimizes risk during the early phase by consolidating authority in the hands of trusted individuals.
2. **Hybrid Elections.** As the eligibility pool expands, the Elected DAO transitions to a hybrid structure, with 50% of seats filled through sortition and 50% retained by founders and trusted operators to maintain stability and institutional knowledge. The Issuer Network simultaneously begins to decentralize, with validator nodes operated by a broader range of independent entities, reducing single points of failure. To further mitigate collusion risk as decentralization increases, the Issuer Network also implements random leader election within its consensus, ensuring no single operator consistently controls transaction aggregation or proposal.
3. **Full Sortition Governance and Issuer Network Elections.** Once the eligibility pool is deep enough, all Elected DAO seats are filled via sortition using a manipulation-robust framework (e.g., Goldilocks). The Issuer Network is now fully decentralized, with a large number of inde-

pendent validator operators jointly responsible for executing DAO transactions and applying DAO decisions on-chain. By this stage, both governance and execution are insulated from founder capture, and accountability is maintained through collateral requirements and slashing. Operational authority, software configuration, and index weight supervision are entirely DAO-controlled.

4. **Mature Autonomy.** In the final phase, the Elected DAO and Issuer Network operate entirely under autonomous, verifiable on-chain mechanisms. The system becomes self-sustaining, with the DAO Assembly periodically updating eligibility rules and compliance parameters to ensure the governance framework evolves with community needs.

8. Conclusions

The proposed structure positions IndexMaker to operate as a legally recognized DAO with strong liability protections, modular index separation, and a clear path toward full decentralization. By combining the Marshall Islands DAO LLC regime with Panama-based operational entities and implementing verifiable, skill-gated sortition for governance, the framework balances regulatory risk management with operational scalability. As the DAO progresses through its decentralization roadmap, it can achieve resilient, compliant, and community-driven management of index tokens without compromising decentralization principles.

LIMITATIONS OF THIS MEMORANDUM

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